8392913D2MM®

This document was prepared by, and after recording, return to:

Wesley Broquard, Esq.
Barnes & Thornburg
LLP Suite 4400
One North Wacker Drive Chicago, Illinois
60606-2888

Permanent Tax Index Numbers:
04-14-305-011-000 (portion only)

Common Address:

0803133012

Doc#: **0803133012 Fee**: $88.00 Eugene "Gene" Moore RHSP Fee:$10.00 Cook County Recorder of Deeds
Date: 01/31/2008 08:31 AM Pg: 1 of 33

*corders **use** only.*

5.0 +/- acres of vacant land on Founders Drive, north of Kamp Drive and south of Techny Road, in the Village of Northbrook, Illinois, Cook County, Illinois.

LEASEHOLD** MORTGAGE, **ASSIGNMENT** OF **LEASES AND RENTS SECURITY AGREEMENT, AND FIXTURE FILING

THIS LEASEHOLD MORTGAGE, ASSIGNMENT OF LEASES AND RENTS, SECURITY AGREEMENT, AND FIXTURE FILING ("Mortgage") is made as of January 1, 2008 by Amalgamated Bank of Chicago, as trustee (the "Trustee") and by North Shore Ice Arena, LLC, an Illinois limited liability company (the "Borrower"). (Borrower is referred to as "Mortgagor", and Trustee as "Mortgagee").

Mortgagor hereby mortgages, grants, assigns, remises, releases, warrants and conveys to Mortgagee, its successors and assigns, and grants a security interest in, the following described property, rights and interests (referred to collectively herein as "Premises"), all of which property, rights and interests are hereby pledged primarily and on a parity with the Real Estate (as defined below) and not secondarily:

THE REAL ESTATE located in the State of Illinois and legally described on **Exhibit A** attached hereto and made a part hereof ("Real Estate");

TOGETHER WITH all improvements of every nature whatsoever now or hereafter situated on the Real Estate, and all fixtures and personal property of every nature whatsoever now or hereafter owned by Mortgagor and on, or used in connection with the Real Estate or the improvements thereon, or in connection with any construction thereon, including all extensions, additions,

improvements, betterments, renewals, substitutions and replacements to any of the foregoing and all of the right, title and interest of Mortgagor in and to any such personal property or fixtures together with the benefit of any deposits or payments now or hereafter made on such personal property or fixtures by Mortgagor or on its behalf ("Improvements");

TOGETHER WITH all easements, rights of way, gores of real estate, streets, ways, alleys, passages, sewer rights, waters, water courses, water rights and powers, and all estates,

Box 400-CTCC

33

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TOGETHER WITH all easements, rights of way, gores of real estate, streets, ways, alleys, passages, sewer rights, waters, water courses, water rights and powers, and all estates,

Box 400-CTCC

33

rights, titles, interests, privileges, liberties, tenements, hereditaments and appurtenances whatsoever, in any way now or hereafter belonging, relating or appertaining to the Real Estate, and the reversions, remainders, rents, issues and profits thereof, and all the estate, right, title, interest, property, possession, claim and demand whatsoever, at law as well as in equity, of Mortgagor of, in and to the same;

TOGETHER WITH all fixtures and articles of personal property now or hereafter owned by Mortgagor and forming a part of or used in connection with the Real Estate or the

Improvements, and all accessions, parts, and appurtenances thereto, renewals, substitutions, or replacements thereof, whether or not the same are or shall be attached to the Real Estate or the Improvements in any manner (the "Personal Property"); it being mutually agreed that all of the Personal Property owned by Mortgagor and placed on the Real Estate or the Improvements, so far as permitted by **law,** shall be deemed to be fixtures, a part of the realty, and security for the Obligations (as hereinafter defined); notwithstanding the agreement hereinabove expressed that certain articles of property form a part of the realty covered by this Mortgage and be appropriated to its use and deemed to be realty, to the extent that such agreement and declaration may not be effective and that any of said articles may constitute goods (as said term is used in the Uniform Commercial Code currently in effect in the State of Illinois (the "Code")), this instrument shall constitute a security agreement, creating a security interest in such goods, as collateral, in Mortgagee, as a secured party, and Mortgagor, as Debtor, all in accordance with the Code;

TOGETHER WITH all rents, revenues, issues, profits, proceeds, income, royalties, accounts, chattel paper, documents, instruments, escrows, letter-of-credit rights (each as defined in the Code), security deposits, impounds, reserves, deposits for taxes, tax refunds and other rights to monies from the Premises and/or the businesses and operations conducted by Mortgagor thereon, to be applied against the Obligations (hereinafter defined), including, without limitation, the Project Fund, the Debt Service Reserve Fund, the Interest Fund, the Revenue Fund, the Repair and Replacement Fund, the Bond Sinking Fund, the Optional Redemption Fund, the Operation Reserve Fund and the Surplus Fund (as defined in the Trust Indenture); provided, however, that Mortgagor, so long as no Event of Default (as defined in Section 21 hereof) has occurred hereunder, may collect rent as it becomes due, but not more than one month in advance thereof (other than the customary collection of rent "for the season" in advance in the ordinary course of the Mortgagor's business);

TOGETHER WITH all interest of Mortgagor in all leases now or hereafter on the Premises, whether written or oral ("Leases"), together with all security therefor and all monies payable thereunder, subject, however, to the conditional permission hereinabove given to Mortgagor to collect the rentals under any such Lease;

TOGETHER WITH all of Mortgagor's interests in general intangibles including payment intangibles and software (each as defined in the Code) now owned or hereafter acquired and related to the Premises, including, without limitation, all of Mortgagor's right, title and interest in and to: (i) all assignable agreements, licenses, permits and contracts to which Mortgagor is or may become a party and which relate to the Premises; **(ii)** all obligations and indebtedness owed to Mortgagor thereunder; (iii) all intellectual property related to the Premises; and **(iv)** all choses in action and causes of action relating to the Premises;

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TOGETHER WITH all of Mortgagor's accounts now owned or hereafter created or acquired as relate to the Premises, including, without limitation, all of the following now owned or hereafter created or acquired by Mortgagor: **(i)** accounts, contract rights, health-care-insurance receivables, book debts, notes, drafts, and other obligations or indebtedness owing to the Mortgagor arising from the sale, lease or exchange of goods or other property and/or the performance of services; (ii) the Mortgagor's rights in, to and under all purchase orders for goods, services or other property; (iii) the Mortgagor's rights to any goods, services or other property represented by any of the foregoing; (iv) monies due to become due to the Mortgagor under all contracts for the sale, lease or exchange of goods or other property and/or the performance of services including the right to payment of any interest or finance charges in respect thereto (whether or not yet earned by performance on the part of the Mortgagor); (v) "securities", "investment property," "financial assets," and "securities entitlements" (each as defined in the Code), and (**vi**) proceeds of any of the foregoing and all collateral security and guaranties of any kind given by any person or entity with respect to any of the foregoing; and all assignable warranties, guarantees, permits and licenses **in** favor of Mortgagor with respect to the Premises; and

TOGETHER WITH all proceeds of the foregoing, including, without limitation, all judgments, awards of damages and settlements hereafter made resulting from condemnation proceeds or the taking of the Premises or any portion thereof under the power of eminent domain, any proceeds of any policies of insurance, maintained with respect to the Premises or proceeds of any sale, option or contract

to sell the Premises or any portion thereof;

TO HAVE AND TO HOLD the Premises, unto Mortgagee, its successors and assigns, forever, for the purposes and upon the uses herein set forth together with all right to possession of the Premises after the occurrence of any Event of Default; Mortgagee hereby RELEASING AND WAIVING all rights under and by virtue of the homestead exemption laws of the State of Illinois;

FOR THE PURPOSE OF SECURING all "Obligations" of Mortgagor in favor of Mortgagee, of every type and description, direct or indirect, absolute or contingent, due or to become due, now existing or hereafter arising, including but not limited to all of

> Mortgagor's obligations to the Illinois Finance Authority (the "Authority") as created under and evidenced by a Loan Agreement (the "Loan Agreement") dated January 1, 2008 among the Authority, Wilmette Hockey Association, Inc. ("Wilmette Hockey Association"), Winnetka Hockey Club, Inc. ("Winnetka Hockey Club" and together with Wilmette Hockey Association, the "Guarantors") and the Mortgagor, the rights to which have been assigned by the Authority to the Mortgagee pursuant to the Indenture,

provided, however, in no event shall future advances secured by this Mortgage exceed, in the aggregate, $10,000,000. Mortgagee shall have an unimpaired right to enforce all of the provisions of this Mortgage, and to exercise all rights and remedies set forth herein and in the Loan Agreement. All of the Obligations are secured as they now exist and as they may be

increased or otherwise changed by any amendment to any instrument or agreement that now or hereafter evidences, secures, or expresses terms applicable to any of the Obligations, including but not limited to amendment to the Loan Documents.

THE MORTGAGOR FURTHER COVENANTS AND AGREES AS **FOLLOWS**:

1. **Title**. Mortgagor represents, warrants and covenants that (a) the Mortgagor lawfully possesses and holds a leasehold interest in the Real Estate in accordance with the terms of that certain Ground **Lease** dated as of January 1, 2008 (the "Ground Lease") between Chicago Title Land Trust Company, as Trustee under a Trust Agreement dated January 1, 2008, and known as Trust Number 1114334, as lessor ("Ground Lessor"), and Mortgagor, as lessee, and Mortgagor has not encumbered or assigned any of its rights, title, or interests under, in, and to the Ground Lease, except for the assignment in favor of Mortgagee; (b) Mortgagor has or will have fee simple title to all Premises other than the Real Estate and Improvements, subject to the encumbrances described on Exhibit "B" attached hereto and made a part hereof and except those liens and encumbrances in favor of the

Mortgagee (the "Permitted Encumbrances"); (c) the Mortgagor has legal power and authority to mortgage and convey the Premises; (d) under the terms of the Ground Lease, Mortgagor has the right to mortgage and convey the Premises without obtaining Ground Lessor's prior consent; and (e) within ten days after execution and delivery of this Mortgage, Mortgagor shall deliver a certified copy hereof to Ground Lessor, together with the name and address of Mortgagee in compliance with the requirements of Section 9.3 of the Ground Lease.

2. **Payment Obligations**. Mortgagor shall pay and perform all of the Obligations promptly when payment or performance is due, with attorneys' fees and costs of collection, and without relief from valuation and appraisement laws.

3. **Condition of Premises**. Mortgagor shall maintain the Premises in good repair and in the manner set forth in the Loan Agreement and shall not commit or permit waste thereon or do or permit to be done anything that may impair the value of the Premises. The Mortgagor shall promptly restore any part of the Premises that may be damaged or destroyed.

4. **Taxes, Charges and** Assessments. The Mortgagor agrees to pay promptly, as and when the same shall become due and payable, each and every lawful cost, expense and obligation of every kind and nature, foreseen or unforeseen, for the payment of which the Authority or the Mortgagor is or shall become liable by reason of its estate or interest in the Project (as define in the Preliminary Statement) or in any portion thereof, or by reason of or in any manner connected with or arising out of the possession, operation, maintenance, alteration, repair, rebuilding, use or occupancy of the Project or any part thereof. The Mortgagor also agrees to pay and discharge, promptly as and when the same shall become due and payable, all lawful real estate taxes, personal property taxes, business and occupation taxes, occupational license taxes, assessments for public improvements or benefits and all other lawful governmental taxes, impositions and charges of every kind and nature, ordinary or extraordinary, general or special, foreseen or unforeseen, whether similar or dissimilar to any of the foregoing, and all applicable interest and penalties thereon, if any, which at any time shall be or become due and payable and which shall be lawfully levied, assessed or imposed upon or with respect to, or which shall be or become liens upon, **the** Project or any portion thereof or any interest of the

Mortgagor therein. The Mortgagor also agrees to pay or cause to be paid all lawful charges for gas, water, sewer, electricity, light, heat, power, telephone and other utility and service used, rendered or supplied **to,** upon or in connection with the Project.

The Mortgagor shall have the right in good faith and by appropriate proceeding to dispute or contest the validity or amount of any such tax, assessment, governmental charge or utility charge, and during the pendency of any such dispute or contest, the Mortgagor shall not be deemed to be in default

under this Section 3 by reason of its failure to have paid the disputed or contested amount.

5. **Mortgagee's Interest In and Use of Deposits**. Upon an Event of Default, Mortgagee may, at its option, apply the Deposits (i) to cure an Event of Default, (ii) to pay any of the Obligations in such order and manner as Mortgagee may elect, and/or (iii) for the uses and in the manner set forth in the Loan Agreement. If such deposits are used to cure an Event of Default or pay any of the Obligations, Mortgagor shall immediately, upon demand by Mortgagee, deposit with Mortgagee an amount equal to the amount expended by Mortgagor from the Deposits. When the Obligations have been fully paid, any remaining Deposits shall be returned to Mortgagor. Such Deposits are hereby pledged as additional security for the Obligations and shall not be subject to the direction or control of Mortgagor.

6. **No Liens**. Mortgagor shall not permit any lien of mechanics or materialmen to attach to and remain on the Premises or any part thereof for more than thirty days after receiving notice thereof. Nothing herein contained, however, shall be construed as preventing or interfering with the contesting by Mortgagor, at its cost and expense, of the validity of such lien or the underlying indebtedness, if the same may be contested without loss or forfeiture of title, and Mortgagor may so contest the same, and during such contest Mortgagor shall not be treated as being or taken to be in default with respect to the subject matter of such contest; provided, however, that if Mortgagee shall so require, Mortgagor shall furnish to Mortgagee reasonable security for the payment at the termination of such contest of the indebtedness secured by such lien. For the purpose of complying with the proviso in the foregoing sentence, Mortgagor may, at its election, furnish a bond in an amount equal to the amount of the item so contested and with surety satisfactory to Mortgagee.

7. **Compliance With Orders, Ordinances, etc.** The Mortgagor will, at its sole cost and expense comply with all applicable present and future laws, ordinances, orders, decrees, rules, regulations and requirements of every duly constituted governmental authority, commission and court and the officers thereof of which it has notice, the failure to comply with which would materially and adversely affect the operations, premises or financial condition of the Mortgagor taken as a whole or which may be applicable to the Bond-Financed Premises (as defined in the Loan Agreement herein after referred to as "the Property") or to the repair and alteration thereof, or to the use or manner of use of the Premises, including, but not limited to the Americans with Disabilities Act, the Illinois Accessibility Code, all federal, state and local environmental and health and safety laws, rules, regulations and orders applicable to or pertaining to the Premises, the Federal Worker Adjustment and Retraining Notification Act and the Prevailing Wage Act.

8. **Preservation of Security** Interest. Upon demand and failure of the Mortgagor so to do, the Mortgagee may, in its discretion, advance and pay all sums necessary to protect and

preserve the Premises, and all sums so advanced and paid by Mortgagee shall become a part of the Obligations secured hereby, shall bear interest from date of payment at a rate equal to the prime or base rate then announced by Mortgagee plus five percent (the "Advance Rate") and shall be payable to Mortgagee upon demand. Such sums shall include, but not be limited to: (a) taxes, assessments and other charges which may be or become senior to this Mortgage as liens on the Premises, or any part thereof; (b) the cost of any **title** insurance, surveys, or other evidence which in the discretion of Mortgagee may be required in order to evidence, confirm, insure or preserve the lien of this Mortgage; (c) all costs, expenses, and attorneys' fees incurred by the Mortgagee in respect of any and all legal and equitable actions which relate to this Mortgage or to the Premises; (d) the cost of any repairs respecting the Premises which are reasonably deemed necessary by the Mortgagee; (e) the cost of all reasonable and necessary expenses for the operation, protection, and preservation for the Premises, including the usual and customary fees for management services; and (f) the cost of premiums due and payable with respect to insurance policies required hereunder or by the Loan Agreement. The Mortgagee shall be subrogated to the rights of the holder of each lien or claim paid with monies secured hereby.

9. Insurance **and Annual Certificate**. The Mortgagor shall maintain, or cause to be maintained at its sole cost and expense, insurance with respect to its Property, the operation thereof and its business against such casualties, contingencies and risks (including but not limited to public liability and employee dishonesty) and in amounts as may be reasonably required by Mortgagee, but in no event less than is customary in the case of businesses engaged in the same or similar activities and similarly situated and as is adequate to protect its Property and operations. In addition, the Mortgagee shall be named as an additional insured on all casualty policies. The Mortgagee shall

annually review the insurance it maintains as to whether such insurance is customary and adequate. In addition, the Mortgagor shall at least once every two Fiscal Years with respect to commercial insurance and at least once every Fiscal Year with respect to self-insurance (commencing with its Fiscal Year beginning January 1, 2008 cause a certificate of an Insurance Consultant (as defined in the Loan Agreement) to be delivered to the Mortgagee which indicates that the insurance then being maintained by the Mortgagor is customary in the case of businesses engaged in the same or similar activities and similarly situated and is adequate to protect the Mortgagor's Property and operations. The Mortgagor shall cause copies of its review, or the certificates of the Insurance Consultant, as the case may be, to be delivered promptly to the Mortgagee. The Mortgagor may self-insure if the Insurance Consultant determines that such self-insurance meets the standards set forth in the first sentence of this paragraph and is prudent under the circumstances. The Mortgagor will furnish to the Authority and to the Mortgagee on or before January 31 of each year, a certificate of the Mortgagor signed by the Mortgagor's authorized representative setting forth that the Mortgagor has made a review of its activities during the preceding calendar year for the purpose of determining whether or not the Mortgagor has complied with all of the terms, provisions and conditions of the Loan Agreement and the Mortgagor has kept, observed, performed and fulfilled each and every covenant, provision and condition of the Loan Agreement on its part to be performed and is not in default in the performance or observance of any of the terms, covenants, provisions or conditions hereof, or if the Mortgagor shall be in default such certificate shall specify all such defaults and the nature thereof.

10. **Damage or Destruction**. The Mortgagor agrees to notify the Mortgagee immediately in the case of the destruction of its Premises or any portion thereof as a result of fire

or other casualty, or any damage to such Premises or portion thereof as a result of fire or other casualty, the Net Proceeds (as defined in the Loan Agreement) of which are estimated to exceed $500,000.

In the event such Net Proceeds are greater than $500,000, the Mortgagor shall within 12 months after the date on which the Net Proceeds are finally determined elect by written notice of such election to the Mortgagee one of the following three options, subject to the approval of the Mortgagee (which approval may not be unreasonably withheld):

(a) *Option* A-*Repair and Restoration*. The Mortgagor may elect to replace, repair, reconstruct, restore or improve any of the Premises of the Mortgagor or acquire additional Premises for the Mortgagor or repay Indebtedness (as defined in the Loan Agreement) incurred for any such purpose pending the receipt of such Net Proceeds. In such event an

amount equal to the Net Proceeds of any insurance relating thereto shall be deposited, when received, with the Mortgagee and the Mortgagor shall proceed forthwith to replace, repair, reconstruct, restore or improve Premises of the Mortgagor or to acquire additional Premises and will apply the Net Proceeds of any insurance relating to such damage or destruction received from the Mortgagee to the payment or reimbursement of the costs of such replacement, repair, reconstruction, restoration, improvement or acquisition or to the repayment of such Indebtedness. So long as the Mortgagor is not in default hereunder, any Net Proceeds of insurance relating to such damage or destruction received by the Mortgagee shall be released from time to time by the Mortgagee to the Mortgagor upon the receipt by the Mortgagee of:

(1) the Written Request (as defined in the Indenture) of the Mortgagor specifying the expenditures made or to be made or the Indebtedness incurred in connection with with such replacement, repair, reconstruction, restoration, improvement or acquisition and stating that such Net Proceeds, together with any other moneys legally available for such purposes, will be sufficient to complete such replacement, repair, reconstruction, restoration, improvement or acquisition; and

(2) if such expenditures were or are to be made or such Indebtedness was incurred for the construction or renovation of Premises, the written approval of such Written Request by an Independent Architect (as defined in the Loan Agreement), if an Independent Architect has been hired in connection with such construction or renovation.

It is further understood and agreed that in the event the Mortgagor shall elect this Option A, the Mortgagor shall complete the replacement, repair, reconstruction, restoration, improvement and acquisition of the Premises, whether or not the Net Proceeds of insurance received for such purposes are sufficient to pay for the same.

(b)

Option B-Prepayment of the *Loan*. The Mortgagor may elect to have all of the Net Proceeds payable as a result of such damage or destruction applied to the prepayment of the Loan (as defined in the Loan Agreement). In such event the

Mortgagor shall, in its notice of election to the Mortgagee, direct the Mortgagee to apply such Net Proceeds, when and as received, to the prepayment of the Loan.

(c) *Option C-Partial Restoration and Partial Prepayment of the Loan*. The Mortgagor **may** elect to have a portion of such Net Proceeds applied to the replacement, repair, reconstruction, restoration and improvement of the Premises of the Mortgagor or the

acquisition of additional Premises for the Mortgagor or the repayment of Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds with the remainder of such Net Proceeds to be applied to prepay the Loan, in which event such Net Proceeds to be used for replacement, repair, reconstruction, restoration, improvement and acquisition shall be applied as set forth in subparagraph (a) of this Section 9 and such Net Proceeds to be used for prepayment of the Loan shall be applied as set forth in subparagraph (b) of this Section.

11.

Condemnation. The Mortgagee shall cooperate fully with the Mortgagor in the handling and conduct of any prospective or pending condemnation proceedings with respect to its Premises or any part thereof. The Mortgagor hereby irrevocably assigns to the Mortgagee, as its interests may appear, all right, title and interest of the Mortgagor in and to any Net Proceeds of any award, compensation or damages payable in connection with any such condemnation or taking, or payment received in a sale transaction consummated under threat of condemnation (any such award, compensation, damages or payment being hereinafter referred to as an "award"), which exceeds $500,000.

In the event such Net Proceeds exceed $500,000, the Mortgagor shall within 12 months after the date on which the Net Proceeds are finally determined elect by written notice of such election to the Mortgagee one of the following three options, subject to the approval of the Mortgagee (which approval may not be unreasonably withheld);

(a) *Option A-Repairs and Improvements*. The Mortgagor may elect to use the Net Proceeds of the award for restoration or replacement of or repairs and improvements to the Premises of the Mortgagor or the acquisition of additional Premises for the Mortgagor or the repayment of Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds. In such event, so long as the Mortgagor is not in default hereunder, the Mortgagor shall have the right to receive such Net Proceeds from the Mortgagee from time to time upon the receipt by the Mortgagee of:

(1) the Written Request of the Mortgagor specifying the expenditures made or to be made or the Indebtedness incurred in connection with such restoration, replacement, repairs, improvements and acquisitions and stating that such Net Proceeds, together with any other moneys legally available for such purposes, will be sufficient to complete such restoration, replacement, repairs, improvements and acquisition; and

(2) if such expenditures were or are to be made or such Indebtedness was incurred for the construction or renovation of Premises, the written approval of such Written Request by an Independent Architect, if an Independent Architect has been hired in connection with such construction or renovation.

(b) *Option* B-*Prepayment of the Loan*. The Mortgagor may elect to have such Net Proceeds of the award applied to the prepayment of the Loan. In such event the Mortgagor shall, in its notice of election to the Mortgagee, direct the Mortgagee to apply such Net Proceeds, when and as received, to the prepayment of the Loan.

(c) *Option C-Partial Restoration and Partial Prepayment of the Loan*. The Mortgagor may elect to have a portion of such Net Proceeds of the award applied to the repair, replacement, restoration and improvement of the Premises of the Mortgagor or the acquisition of additional Premises for the Mortgagor or the repayment of Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds, with the remainder of such Net Proceeds to be applied to the prepayment of the Loan, in which event such Net Proceeds to be used for repair, replacement, restoration, improvement and acquisition shall be applied as set forth in subparagraph (a) of this Section 10 and such Net Proceeds to be used for prepayment of the Loan shall be applied as set forth in subparagraph (**b**) of this Section.

12.

Stamp Tax. If, by the laws of the United States of America, or of any state or political subdivision having jurisdiction over Mortgagor, any tax is due or becomes due in respect of the execution and delivery of this Mortgage or any of the Loan Documents, Mortgagor shall pay such tax in the manner required by any such law. Mortgagor further agrees to reimburse Mortgagee for any sums which Mortgagee may expend by reason of the imposition of any such tax. Notwithstanding the foregoing, Mortgagor shall not be required to pay any income or franchise taxes of Mortgagee.

13. Security **Agreement**. The Mortgagor and the Mortgagee agree that this Mortgage shall constitute a Security Agreement within the meaning of the Uniform Commercial Code, as enacted in the State of Illinois (the "Code"), from time to time, with respect to (a) all sums at any time on deposit for the benefit of the Mortgagor or held by the Mortgagee (whether deposited by or on behalf of the Mortgagor or anyone else) pursuant to any of the provisions of this Mortgage or the other Loan Documents, and (b) **with** respect to any Personal Property included in the granting clauses of this Mortgage**,** which Personal Property may not be deemed to be affixed to the Premises or may not constitute a "Fixture" (within the meaning of Section 9- 102(41) of the Code, and all replacements of, substitutions for, additions to, and the proceeds thereof, and the "Supporting Obligations" (as defined in the Code) (all of said Personal Property and the replacements, substitutions and additions thereto and the proceeds thereof being sometimes hereinafter collectively referred to as "Collateral"), and that a security interest in and to the Collateral is hereby granted to the Mortgagee, and the Collateral and all of the Mortgagor's right, title and interest therein are hereby assigned to the Mortgagee, all to secure payment of the Indebtedness. All of the provisions contained in this Mortgage pertain and apply to the Collateral as fully and to the same extent as to any other property comprising the Premises; and the following provisions of this section shall not limit the applicability of any other provision of this Mortgage but shall be in addition thereto:

i.

The Mortgagor (being the Debtor as that term is used in the Code) is and will be the true and lawful owner of the Collateral, subject to no liens, charges or encumbrances other than the lien hereof, other liens and encumbrances

benefiting the Mortgagee and no other party, and liens and encumbrances, if any, expressly permitted by the other Loan Documents.

ii.

The Collateral is to be used by the Mortgagor solely for business purposes.

iii. The Collateral will be kept at the Real Estate and, except for Obsolete Collateral (as hereinafter defined), will not be removed therefrom without the consent of the Mortgagee (being the Secured Party as that term is used in the Code). The Collateral may be affixed to the Real Estate but will not be affixed to any other real estate.

iv. The only persons having any interest in the Premises are the Mortgagor, the Mortgagee and holders of interests, if any, expressly permitted hereby.

v.

No Financing Statement (other than Financing Statements showing the Mortgagee as the sole secured party, or with respect to liens or encumbrances, if any, expressly permitted hereby) covering any of the Collateral or any proceeds thereof is on file in any public office except pursuant hereto; and the Mortgagor, at its own cost and expense, upon demand, will furnish to the Mortgagee such further information and will execute and deliver to the Mortgagee such financing statements and other documents in form satisfactory to the Mortgagee and will do all such acts as the Mortgagee may request at any time or from time to time or as may be necessary or appropriate to establish and maintain a perfected security interest in the Collateral as security for the Obligations, subject to no other liens or encumbrances, other than liens or encumbrances benefiting the Mortgagee and no other party, and liens and encumbrances (if any) expressly permitted hereby; and the Mortgagor will pay the cost of filing or recording such financing statements or other documents, and this instrument, in all public offices wherever filing or recording is deemed by the Mortgagee to be desirable. The Mortgagor hereby irrevocably authorizes the Mortgagee at any time, and from time to time, to file in any jurisdiction any initial financing statements and

amendments thereto, without the signature of the Mortgagor that (i) indicate the Collateral (A) is comprised of all assets of the Mortgagor or words of similar effect, regardless of whether any particular asset comprising a part of the Collateral falls within the scope of Article 9 of the Uniform Commercial Code of the jurisdiction wherein such financing statement or amendment is filed, or (B) as being of an equal or lesser scope or within greater detail as the grant of the security interest set forth herein, and (ii) contain any other information required by Section 5 of Article 9 of the Uniform Commercial Code of the jurisdiction wherein such financing statement or amendment is filed regarding the sufficiency or filing office acceptance of any financing statement or amendment, including (A) whether the Mortgagor is an organization, the type of organization and any organizational identification number issued to the Mortgagor, and (B) in the case of a financing statement filed as a fixture filing or indicating Collateral as as-extracted collateral or timber to be cut, a sufficient description of the real property to which the

Collateral relates. The Mortgagor agrees to furnish any such information to the Mortgagee promptly upon request. The Mortgagor further ratifies and affirms its authorization for any financing statements and/or amendments thereto, executed and filed by the Mortgagee in any jurisdiction prior to the date of this Mortgage. In addition, the Mortgagor shall make appropriate entries on its books and records disclosing the Mortgagee's security interests in the Collateral.

vi.

Upon an Event of Default hereunder, the Mortgagee shall have the remedies of a secured party under the Code, including, without limitation, the right to take immediate and exclusive possession of the Collateral, or any part thereof, and for that purpose, so far as the Mortgagor can give authority therefor, with or without judicial process, may enter (if this can be done without breach of the peace) upon any place which the Collateral or any part thereof may be situated and remove the same therefrom (provided that if the Collateral is affixed to real estate, such removal shall be subject to the conditions stated in the Code); and the Mortgagee shall be entitled to hold, maintain, preserve and prepare the Collateral for sale, until disposed of, or may propose to retain the Collateral subject to the Mortgagor's right of redemption in satisfaction of the Mortgagor's obligations, as provided in the Code. The Mortgagee may render the Collateral unusable without removal and may dispose of the Collateral on the

Premises. The Mortgagee may require the Mortgagor to assemble the Collateral and make it available to the Mortgagee for its possession at a place to be designated by the Mortgagee which is reasonably convenient to both parties. The Mortgagee will give the Mortgagor at least ten (10) days notice of the time and place of any public sale of the Collateral or of the time after which any private sale or any other intended disposition thereof is made. The requirements of reasonable notice shall be met if such notice is mailed, by certified United States mail or equivalent, postage prepaid, to the address of the Mortgagor hereinafter set forth at least ten (10) days before the time of the sale or disposition. The Mortgagee may buy at any public sale. The Mortgagee may buy at private sale if the Collateral is of a type customarily sold in a recognized market or is of a type which is the subject of widely distributed standard price quotations. Any such sale may be held in conjunction with any foreclosure sale of the Premises. If the Mortgagee so elects, the Premises and the Collateral may be sold as one lot. The net proceeds realized upon any such disposition, after deduction for the expenses of retaking, holding, preparing for sale, selling and the reasonable attorneys' fees and legal expenses incurred by the Mortgagee, shall be applied against the Indebtedness in such order or manner as the Mortgagee shall select. The Mortgagee will account to the Mortgagor for any surplus realized on such disposition.

vii. The terms and provisions contained in this section, unless the context otherwise requires, shall have the meanings and be construed as provided in the Code.

viii. This Mortgage is intended to be a financing statement within the purview of Section 9-502(b) of the Code with respect to the Collateral and the goods described herein, which goods are or may become fixtures relating to the

14.

Premises. The addresses of **the** Mortgagor (Debtor) and the Mortgagee (Secured Party) are hereinbelow set forth. This Mortgage is to be filed for recording with the Recorder of Deeds of the county or counties where the Premises are located. The Mortgagor is the record owner of the Premises.

ix. To the extent permitted by applicable law, the security interest created hereby is specifically intended to cover all Leases between the Mortgagor and/or its agents, as lessor, and various tenants named therein, as lessee, including all extended terms and all extensions and renewals of the terms thereof, as well as any amendments to or replacement of said Leases, together with all of the right, title and interest of the Mortgagor, as lessor thereunder.

X. The Mortgagor represents and warrants that: (i) the Mortgagor is the record owner of the Premises; (ii) the Mortgagor's chief executive office is located in the State of Illinois; (iii) the Mortgagor's state of incorporation is the State of Illinois; (iv) the Mortgagor's exact

legal name is as set forth on Page 1 of this Mortgage; and (v) the Mortgagor's state organizational identification number is 02019485.

xi. The Mortgagor hereby agrees that: (i) where Collateral is in possession of a third party, the Mortgagor will join with the Mortgagee in notifying the third party of the Mortgagee's interest and obtaining an acknowledgment from the third party that it is holding the Collateral for the benefit of the Mortgagee; (ii) the Mortgagor will cooperate with the Mortgagee in obtaining control with respect to Collateral consisting of: deposit accounts, investment property, letter of credit rights and electronic chattel paper; and (iii) until the Indebtedness is paid in full, the Mortgagor will not change the state where it is located or change its name or form of organization without giving the Mortgagee at least thirty (30) days prior written notice in each instance.

Restrictions on Transfer.

(a)

The Mortgagor, without the prior written consent of the Mortgagee, shall not effect, suffer or permit any conveyance, sale, assignment, transfer, lien, pledge, mortgage, security interest or other encumbrance or alienation (or any agreement to do any of the foregoing) of Premises or any part thereof or interest therein, whether any such conveyance, sale, assignment, transfer, lien, pledge, mortgage, security interest, encumbrance or alienation is effected directly, indirectly (including the nominee agreement), voluntarily or involuntarily, by operation of law or otherwise (each, a "Mortgagor Prohibited Transfer"); provided, however, that the foregoing provisions of this section shall not apply to (i) liens securing the Obligations, (ii) the lien of current taxes and assessments not in default, (iii) leases permitted by the terms of the Loan Documents, if any, or (iv) sales or other dispositions of Collateral ("Obsolete Collateral") no longer useful in connection with the operation of the Premises, provided that prior to the sale or other disposition thereof, such Obsolete Collateral has been replaced by Collateral of at least equal value and utility which is subject to the lien hereof with the same priority as with respect to the Obsolete Collateral.

(b)

In determining whether or not to make the Loan, the Mortgagee evaluated the background and experience of the Mortgagor in owning and operating property such as the Premises, found it acceptable and relied and continues to rely upon same as the means of maintaining the value of the Premises which is the Mortgagee's security for the Loan. The Mortgagor is well experienced in borrowing money and owning and operating property such as the Premises, were ably represented by a licensed attorney at law in the negotiation and documentation of the Loan and bargained at arm's length and without duress of any kind for all of the terms and conditions of the Loan, including this provision. The Mortgagor further recognizes that any secondary junior financing placed upon the Premises (i)

may divert funds which would otherwise be used to repay the Loan; (ii) could result in acceleration and foreclosure by any such junior encumbrancer which would force the Mortgagee to take measures and incur expenses to protect its security; (iii) would detract from the value of the Premises should the Mortgagee come into possession thereof with the intention of selling same; and (iv) would impair the Mortgagee's right to accept a deed in lieu of foreclosure, as a foreclosure by the Mortgagee would be necessary to clear the title to the Premises. In accordance with the foregoing and for the purposes of (a) protecting the Mortgagee's security, both of repayment and of value of the Premises; (**b**) giving the Mortgagee the full benefit of its bargain and contract with the Mortgagor; and (c) keeping the Premises free of subordinate financing liens, the Mortgagor agrees that if this section is deemed a restraint on alienation, that it is a reasonable one.

15. Single **Asset Entity**. The Mortgagor shall not hold or acquire, directly or indirectly, any ownership interest (legal or equitable) in any real or personal property other than the Premises, or become a shareholder of or a member or partner in any entity which acquires any property other than the Premises, until such time as the Obligations have been fully repaid. The Mortgagor covenants:

(a) To maintain its assets, accounts, books, records, financial statements, stationery, invoices, and checks separate from and not commingled with any of those of any other person or entity;

(b) To conduct its own business in its own name, pay its own liabilities out of its own funds, allocate fairly and reasonably any overhead for shared employees and office space, and to maintain an arm's length relationship with its affiliates;

(c) To hold itself out as a separate entity, correct any known misunderstanding regarding its separate identity, maintain adequate capital in light of its contemplated business operations, and observe all organizational formalities;

(d) Not to guarantee or become obligated for the debts of any other entity or person or hold out its credits as being available to satisfy the obligations of others, including not acquiring obligations or securities of its partners, members or shareholders;

(e) Not to pledge its assets for the benefit of any other entity or person or make any loans or advances to any person or entity;

(1) Not to enter into any contract or agreement with any party which is directly or indirectly controlling, controlled by or under common control with the Mortgagor (an "Affiliate"), except upon terms and conditions that are intrinsically fair and substantially similar to those that would be available on an arms-length basis with third parties other than any Affiliate;

(g) Neither the Mortgagor nor any constituent party of the Mortgagor will seek the dissolution or winding up, in whole or in part, of the Mortgagor, nor will the Mortgagor merge with or be consolidated into any other entity;

(h) The Mortgagor has and will maintain its assets in such a manner that it will not be costly or difficult to segregate, ascertain or identify its individual assets from those of any constituent party of the Mortgagor, the Guarantors or any other person;

The Mortgagor now has and will hereafter have no debts or obligations other than normal accounts payable in the ordinary course of business, this Mortgage, and the Loan; and any other indebtedness or other obligation of the Mortgagor has been paid in full prior to or through application of proceeds from the funding of the Loan.

16. **Leases.** Mortgagor will observe and perform all covenants, conditions and agreements contained in any Lease or Leases now or hereafter affecting the Premises, or any portion thereof, on the part of the Mortgagor to be observed and performed. Mortgagor will not accept any prepayment of rents or installments of rents for more than one month in advance (other than the customary collection of rent "for the season" in advance in the ordinary course of the Mortgagor's business) without prior written consent of Mortgagee. Mortgagor, upon request, from time to time, will furnish to Mortgagee a statement in such reasonable detail as Mortgagee may request, certified by Mortgagor, of all Leases relating to the Premises and, on demand, Mortgagor will furnish to Mortgagee executed counterparts of any and all such Leases.

17. **Lease Assignment**. Mortgagor acknowledges that, concurrently herewith, Mortgagor has executed and delivered to Mortgagee, as additional security for the repayment of the Obligations, an Assignment of Leases and Rents ("Assignment") pursuant to which Mortgagor has assigned to Mortgagee interests in the leases of the Premises and the rents and income from the Premises. All of the provisions of the Assignment are hereby incorporated herein as if fully set forth at

length in the text of this Mortgage. Mortgagor agrees to abide by all of the provisions of the Assignment.

18. **Collection of Rents**. At any time an Event of Default (as hereafter defined) has occurred and is continuing, Mortgagee may enter upon and take possession of the Premises or any part thereof, and at any such time, or at any other time if Mortgagee in the exercise of its discretion determines that payment or performance of any of the Obligations is insecure, Mortgagee may demand, sue for, receive and give receipts, releases and satisfactions for all Rents, and for such purposes Mortgagor hereby irrevocably appoints and constitutes the Mortgagee as its true and lawful attorney-in-fact with full power of substitution for and on behalf of Mortgagor and in a manner not adverse to the interests of Mortgagor, to request, demand, enforce payment, collect and receive the Rents payable under the Leases, to endorse any checks, drafts or orders evidencing the payment of Rents under the Leases, and to do and perform any act

which Mortgagor might do for and on its own behalf. The collection of such Rents shall not operate as an affirmance of any tenant or lease in the event Mortgagor's title to the Premises or any portion thereof shall be acquired by Mortgagee. Mortgagee shall be liable to account only for Rents actually received by Mortgagee. In exercising any of the powers contained in this Mortgage, Mortgagee may also take possession of, and for these purposes use, any and all personal property contained in the Premises and used by Mortgagor in the maintenance, rental or leasing thereof or any part thereof. Mortgagor does not assign to Mortgagee any of Mortgagor's obligations under any such Lease, and Mortgagor shall be and remain solely responsible for performing or fulfilling such obligations. At any time that the Mortgagee has not exercised its right to take possession of the Premises and there is not in effect any demand by the Mortgagee for the direct payment of Rents to Mortgagee, Mortgagor may collect and retain Rents or use them for any proper purpose in the ordinary course of Mortgagor's business. Any demand by Mortgagee upon any tenant of the Premises accompanied by a copy of this Mortgage shall be sufficient authority for such tenant thereafter to make all payments of Rents directly to the Mortgagee and any such tenant shall have no obligation or authority to inquire into the propriety of any such demand. Upon making

payments of Rents to Mortgagee pursuant to Mortgagee's demand, any tenant of the Premises shall be as fully discharged of its obligations under any Lease to the extent of such payments as if such payments had been made directly to Mortgagor. If at any time payments of Rents are required to be made directly to Mortgagee under the terms of this paragraph and notwithstanding such requirement such payments are made to Mortgagor, Mortgagor will receive such payments in trust for Mortgagee and will forward them immediately to Mortgagee in the form in which received, adding only such endorsements or assignments as may be necessary to perfect Mortgagee's title thereto. Any amounts collected by Mortgagee pursuant to the assignment of rents contained in this Mortgage shall be applied by Mortgagee to the payment of such of the Obligations as are then due and payable as Mortgagee in its sole discretion shall determine. If no Obligations are then due and payable, such amounts may be held by Mortgagee as cash collateral for the Obligations, without liability for interest thereon, provided that Mortgagee will, at the direction of Mortgagor, invest such amounts for the account and at the risk of Mortgagor in investments (i) with **less** than 60 days remaining to maturity, and (ii) that will not adversely affect the exclusion of interest on the Bonds (as defined in the Loan Agreement) from the gross income, for federal income tax purposes, of the holders thereof. Any portion or all of the cash collateral account which is not applied to Obligations pursuant to the terms of this paragraph may, at the discretion of Mortgagee, be released to Mortgagor. The authority given to collect Rents conferred upon Mortgagee under the terms of this Mortgage is irrevocable. To the extent any amounts contained in the cash collateral account constitute replacement proceeds of the Bonds, Mortgagor shall, at its own expense, calculate and pay arbitrage rebate**, if** any, with respect to such amounts.

19. **Effect of Extensions of Time and** Other **Changes**. If the payment of the Obligations or any part thereof is extended or varied, if any part of any security for the payment of the Obligations is released, if the rate of interest charged for any of the Obligations is changed, or if the time for payment thereof is extended or varied, all persons now or at any time hereafter liable therefor, or interested in the Premises or having an interest in Mortgagor, shall be held to assent to such extension, variation, release or change and their liability and the lien and **all** of the provisions hereof shall continue in full force, any right of recourse against all such persons being expressly reserved by Mortgagee, notwithstanding such extension, variation, release or change.

20.

Effect of Changes in Laws Regarding Taxation. If any law is enacted after the date hereof requiring (a) the deduction of any lien on the Premises from the value thereof for the purpose of taxation or (b) the imposition upon Mortgagee of the payment of the whole or any part of the Taxes, charges or liens herein required to be **paid** by Mortgagor, or (c) a change in the method of taxation

of mortgages or debts secured by mortgages or Mortgagee's interest in the Premises, or the manner of collection of taxes, so as to affect this Mortgage or the Obligations or the holders thereof, then Mortgagor, upon demand by Mortgagee, shall pay such Taxes or charges, or reimburse Mortgagee therefor; provided, however, that Mortgagor shall not be deemed to be required to pay any income or franchise taxes of Mortgagee. Notwithstanding the foregoing, if in the opinion of counsel for Mortgagee it is or may be unlawful to require Mortgagor to make such payment or the making of such payment might result in the imposition of interest beyond the maximum amount permitted by law, then Mortgagee may declare all of the Obligations to be immediately due and payable.

21. Events **of Default**. The occurrence and continuance of any of the following events shall constitute an "event of default" hereunder:

failure by the Mortgagor to make any other payment required by the Loan Agreement for the payment of the Bonds when the same shall become due and payable, whether upon a scheduled Interest Payment Date (as defined in the Loan Agreement), at Maturity, upon any date fixed for prepayment or purchase, by acceleration or otherwise; or failure of the Mortgagor to make any payments required by the Tax Exemption Agreement (as defined in the Loan Agreement) and the continuance of such failure for five days; or

b. failure of the Mortgagor to comply with or perform any of the covenants, conditions, or provisions set forth in the Loan Agreement (other than those specifically identified in clauses (a) or (i) of Section **18** of the Loan Agreement) or of the Tax Exemption Agreement and to remedy such default within 30 days after written notice thereof from the Authority to the Mortgagor; provided that, if such default cannot with due diligence and dispatch be wholly cured within 30 days but can be wholly cured, the failure of the Mortgagor to remedy such default within such 30-day period shall not constitute a default hereunder if the Mortgagor shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch; or

c. if any representation or warranty made by the Mortgagor herein or in any statement or certificate furnished to the Authority or the Mortgagee or the purchaser of any Bonds in connection with the sale of the Bonds or furnished by the Mortgagor pursuant hereto proves untrue in any material respect as of the date of the issuance or making thereof and shall not be made good within 30 days after written notice thereof by the Authority to the Mortgagor; provided that, if such default cannot with due diligence and dispatch be wholly cured within 30 days but can be wholly cured, the failure of the Mortgagor to remedy such default within such **30**-day period shall not constitute a default hereunder if the Mortgagor shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the

curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch; or

d. any event of default shall occur which would permit the acceleration of the payment of the Loan; or

e. if the Mortgagor admits insolvency or bankruptcy or its inability to pay its debts as they mature, or is generally not paying its debts as such debts become due, or makes an assignment for the benefit of creditors or applies for or consents to the appointment of a Mortgagee, custodian or receiver for the Mortgagor, or for the major part of its Property; or

f. if a Mortgagee, custodian or receiver is appointed for the Mortgagor or for the major part of its Property and is not discharged within 60 days after such appointment; or

g. *if* bankruptcy, reorganization, arrangement, insolvency or liquidation proceedings, proceedings under Title 11 of the United States Code, as amended, or other proceedings for relief under any bankruptcy law or similar law for the relief of debtors are instituted by or against the Mortgagor (other than bankruptcy proceedings instituted by **the** Mortgagor against third parties), and if instituted against the Mortgagor are allowed against the Mortgagor or are consented to or are not dismissed, stayed or otherwise nullified within 60 days after such institution**;** or

h. failure by the Mortgagor to comply with or perform its covenant under Section 9.7 of the Loan Agreement;

i. if payment of any installment of interest or principal, or any premium, on any Bond shall not be made when the same shall become due and payable under the provisions of the Trust Indenture; or

j. default shall occur in the payment of the principal of or interest on any valid obligation of the Mortgagor for borrowed money, as and when the same shall become due, or under any valid mortgage, agreement or other instrument under or pursuant to which such indebtedness is issued, and such default shall continue beyond the period of grace, if any**,** allowed with respect thereto; provided, however, that a default in payment thereunder shall not constitute an "event of default" hereunder unless the unpaid principal amount of such indebtedness, together with the unpaid principal amount of all other indebtedness so in default, exceeds 1% of the unrestricted net assets of the Mortgagor as shown on or derived from **the** then latest available audited financial statements of the Mortgagor.

Upon the occurrence and during the continuance of any event of default hereunder, the Mortgagee shall have the following rights and remedies, in addition to any other remedies herein or by law provided:

I.

Acceleration of Maturity; *Waiver of Event of Default and Rescission of Acceleration*. The Mortgagee may declare the Loan (if not then due and payable) to be due and payable immediately, anything in the Loan Agreement contained to the contrary notwithstanding.

IL *Right to Bring Suit, Etc.* The Mortgagee, with or without entry, personally or by attorney, may **in** its discretion, proceed to protect and enforce its rights by pursuing any available remedy including a suit or suits in equity or at law, whether for damages or for the specific performance of any obligation, covenant or agreement contained in the Loan Agreement or in aid of the execution of any power herein granted, or for the enforcement of any other appropriate legal or equitable remedy, as the Mortgagee shall deem most effectual to collect the payments then due and thereafter to become due, to enforce performance and observance of any obligation, agreement or covenant of the Mortgagor hereunder or to protect and enforce any of the Mortgagee's rights or duties hereunder.

22. **Remedies Upon Event of Default**. Upon the occurrence and continuance of an Event of Default, all indebtedness secured hereby shall, at the option of Mortgagee, become immediately due and payable and this Mortgage may be foreclosed accordingly. Should proceedings to foreclose this Mortgage be instituted, Mortgagee may apply for **the** appointment of a receiver (and Mortgagor hereby consents to the appointment of a receiver if there has been any Event of Default), and such receiver is hereby authorized to take possession of the Premises, collect any rental, accrued or to accrue, whether in money or kind, for the use or occupancy of said Premises by any person, firm or Mortgagor, or may let or lease said Premises or any part thereof, receive the rents, income and profits therefrom, and hold the proceeds subject to the orders of the court, or the judge thereof, for the benefit of Mortgagee, pending the final decree in said proceedings, and said receiver may be appointed irrespective of the value of the Premises or its adequacy to secure or discharge indebtedness due or to become due or the solvency of Mortgagor. Mortgagee shall have the option of proceeding as to both the Real Estate and the Personal Property in accordance with its rights and remedies in respect of the Real Estate, in which event the default provisions of the Code shall not apply. If Mortgagee elects to proceed with respect to the Personal Property separately from the Real Estate, the requirement of the Code as to reasonable notice of **any** proposed sale or disposition of the Personal Property shall be met if such notice is delivered or mailed to Mortgagor at its address for notices provided for in the Loan Agreement at least 10 days prior to such sale or disposition. In any action to foreclose this Mortgage, Mortgagee shall be entitled to recover, in addition to all attorney and related paraprofessional

expenses incurred in connection therewith, all other costs and expenses associated with foreclosure including, without limitation, all expenses incurred for title searches, abstracts of title, title insurance, appraisals, surveys and environmental assessments reasonably deemed necessary by the Mortgagee, all of which costs and expenses shall be additional amounts secured by this Mortgage.

23.

Compliance with Illinois Mortgage Foreclosure Law.

a. If any provision in this Mortgage shall be inconsistent with any provision of the Illinois Mortgage Foreclosure Act (Chapter 735, Sections 5/15-1101 *et seq.*, Illinois Compiled Statutes, as may be amended from time to time, the "Act"), provisions of the Act shall take precedence over the provisions of this Mortgage, but shall not invalidate or render unenforceable any other provision of this Mortgage that can be construed in a manner consistent with the Act.

b. If any provision of this Mortgage shall grant to Mortgagee (including Mortgagee acting as a mortgagee-in-possession) or a receiver appointed any powers,

rights or remedies prior to, upon or following the occurrence of an Event of Default which are more limited than the powers, rights or remedies that would otherwise be vested in Mortgagee or in such receiver under the Act in the absence of said provision, Mortgagee and such receiver shall be vested with the powers, rights and remedies granted in the Act to the full extent permitted by law.

c. Without limiting the generality of the foregoing, all expenses incurred by Mortgagee which are of the type referred to in Sections 5/15-1510 or 5/15-1512 of the Act, whether incurred before or after any decree or judgment of foreclosure, and whether or not enumerated in Paragraph 20 or elsewhere in this Mortgage, shall be added to the Obligations and/or the judgment of foreclosure.

24. **Rights Cumulative**. Each right, power and remedy herein conferred upon Mortgagee is cumulative and in addition to every other right, power or remedy, express or implied, given now or hereafter existing under any of the Loan Documents or at law or in equity, and each and every right, power and remedy herein set forth or otherwise so existing may be exercised from time to time as often and in such order as may be deemed expedient by Mortgagee, and the exercise or the beginning of the exercise of one right, power or remedy shall not be a waiver of the right to exercise at the same time or thereafter any other right, power or remedy, and no delay or omission of Mortgagee in the exercise of any right, power or remedy accruing hereunder or arising otherwise shall impair any such right, power or remedy, or be construed to be a waiver of any Event of Default or acquiescence therein.

25. **Release Upon Payment and Discharge of Mortgagor's Obligations**. Mortgagee shall release this Mortgage and the lien hereof **by** proper instrument upon payment and discharge of all Obligations, including payment of all reasonable expenses incurred by Mortgagee in connection with the execution of such release.

26. **Notices**. Any notices to be given to either party under this Mortgage shall be deemed effective when given in the manner provided for in the Loan Agreement.

27. **Waiver of Rights**. The Mortgagor hereby covenants and agrees that it will not at any time insist upon or plead, or in any manner claim or take any advantage of, any stay, exemption or extension law or any so-called "Moratorium Law" now or at any time hereafter in force providing for the valuation or appraisement of the Premises, or any part thereof, prior to any sale or sales thereof to be made pursuant to any provisions herein contained, or to decree, judgment or order of any court of competent jurisdiction; or, after such sale or sales, claim or exercise any rights under any statute now or hereafter in force to redeem the property so sold, or any part thereof, or relating to the marshalling thereof, upon foreclosure sale or other enforcement hereof; and without limiting the foregoing:

a. The Mortgagor hereby expressly waives any and all rights of reinstatement and redemption, if any, under any order or decree of foreclosure of this Mortgage, on its own behalf and on behalf of each and every person, it being the intent hereof that any and all such rights of reinstatement and redemption of the Mortgagor and of all other persons are and shall be deemed to be hereby waived to the full extent permitted by the provisions of Section **5**/15-1601 of the Act or other applicable law or replacement statutes;

b. The Mortgagor will not invoke or utilize any such law or laws or otherwise hinder, delay or impede the execution of any right, power remedy herein or otherwise granted or delegated to the Mortgagee but will suffer and permit the execution of every such right, power and remedy as though no such law or laws had been made or enacted; and

c. If the Mortgagor is a Mortgagee, Mortgagor represents that the provisions of this paragraph (including the waiver of reinstatement and redemption rights) were made at the express direction of Mortgagor's beneficiaries and the persons having the power of direction over Mortgagor, and are made on behalf of the trust estate of Mortgagor and all beneficiaries of Mortgagor, as well as all other persons mentioned above.

28. Statement **of Indebtedness**. Each party shall, within seven days after being so

requested by the other, furnish a written statement setting forth the amount of the debt secured by this Mortgage, the date to which interest has been paid and, in the case of Mortgagor, stating either that no offsets or defenses exist against such debt or, if such offsets or defenses are alleged to exist, the nature thereof.

29.

Insufficiency of Proceeds. In the event the property pledged by this instrument is sold under foreclosure and the proceeds are insufficient to pay the total costs of said foreclosure and the indebtedness evidenced and secured by this instrument, Mortgagee will be entitled to a deficiency judgment.

30.

Indemnification of Mortgagee.

(a) The Mortgagor shall indemnify and hold the Mortgagee and its officers, agents and employees harmless against any loss, liability or expense, including reasonable attorneys' fees, or settlement costs incurred without breach of the required standard of care set forth in the Indenture arising out of or in connection with claims or actions taken under or pursuant to the Indenture, including the reasonable costs and expenses of defense, the Guaranty or this Mortgage including counsel selected by the Mortgagee, against any such claim or action or liability.

(b) The obligations of the Mortgagor under this Section 27 shall survive any assignment or termination of this Mortgage and any resignation or removal of the Mortgagee.

(c) The indemnification provisions of this Section 27 shall be in addition to, and not in substitution of, the indemnification provisions set forth in the Bond Purchase Agreement and the Loan Agreement.

31.

Miscellaneous.

a.

Successors **and Assigns**. This Mortgage and all provisions hereof shall be binding upon and enforceable against Mortgagor and its assigns and other successors. This Mortgage and all provisions hereof shall inure to the benefit of Mortgagee, its successors and assigns.

b. **Invalidity of Provisions; Governing Law**. In the event that any provision of this Mortgage is deemed to be invalid by reason of the operation of law, or by reason of

the interpretation placed thereon by any administrative agency or any court, Mortgagor and Mortgagee shall negotiate an equitable adjustment in the provisions of the same in order to effect, to the maximum extent permitted by **law**, the purpose of this Mortgage and the validity and enforceability of the remaining provisions, or portions or applications thereof, shall not be affected thereby and shall remain in full force and effect. This Mortgage is to be construed in accordance with and governed by the laws of the State of Illinois without regard to the conflicts of law rules of Illinois.

c. **Commercial** Mortgage**.** This Mortgage secures indebtedness incurred for a business purpose.

d. **Inconsistencies**. In the event of any inconsistency between the provisions of this Mortgage and the provisions of the Loan Agreement, the provisions of the Loan Agreement shall control.

e. **Rights of Tenants**. Mortgagee shall have the right and option to commence a civil action to foreclose **this** Mortgage and to obtain a decree of foreclosure and sale subject to the rights of any tenant or tenants of the Premises having an interest in the Premises prior to that of Mortgagee. The failure to join any such tenant or tenants of the Premises as party defendant or defendants in any such civil action or the failure of any decree of foreclosure and sale to foreclose their rights shall not be asserted by Mortgagor as a defense in any civil action instituted to collect the Obligations, or any part thereof or any deficiency remaining unpaid after foreclosure and sale of the Premises, any statute or rule of law at any time existing to the contrary notwithstanding.

f. **Mortgagee in Possession**. Nothing herein contained shall be construed as constituting Mortgagee a mortgagee in possession in the absence of the actual taking of possession of the Premises by Mortgagee pursuant to this Mortgage.

g. **Relationship of Mortgagee and Mortgagor**. Mortgagee shall in no event be construed for any purpose to be a partner, joint venturer, agent or associate of Mortgagor or of any lessee, operator, concessionaire or licensee of Mortgagor in the conduct of their respective businesses, and, without limiting the foregoing, Mortgagee shall not be deemed to be such partner, joint venturer, agent or associate on account of Mortgagee becoming a mortgagee in possession or exercising any rights pursuant to this Mortgage, any of the other Loan Documents, or otherwise. The relationship of Mortgagor and Mortgagee hereunder is solely that of debtor/creditor.

h. **Time of the Essence**. Time is of the essence of the payment by Mortgagor of all amounts due and owing to Mortgagee under the Loan Documents and the performance and observance

by Mortgagor of all terms, conditions, obligations and agreements contained in this Mortgage and the other Loan Documents.

i. **No Merger**. The parties hereto intend that the Mortgage and the lien hereof shall not merge in fee simple title to the Premises, and if Mortgagee acquires any additional or other interest in or to the Premises or the ownership thereof, then, unless a contrary intent is manifested by Mortgagee as evidenced by an express statement to that

effect in an appropriate document duly recorded, this Mortgage and the lien hereof shall not merge in the fee simple title and this Mortgage may be foreclosed as if owned by a stranger to the fee simple title.

j. **Maximum Indebtedness.** Notwithstanding anything contained herein to the contrary, in no event shall the Obligations exceed an amount equal to $25,000,000, provided, however, in no event shall Mortgagee be obligated to advance funds in excess of the amounts provided for in the Loan Documents.

k. **Leasehold** Addendum. The terms set forth on the attached Leasehold Mortgage Addendum are incorporated here by reference.

[SIGNATURES **FOLLOW ON THE NEXT PAGE]**

SIGNATURE PAGE OF LEASEHOLD MORTGAGE ASSIGNMENT OF LEASES AND RENTS, SECURITY AGREEMENT, AND FIXTURE FILING

Mortgagor and the Trustee have executed and delivered this Mortgage the day and year first above written.

NORTH SHORE ICE ARENA, LLC

By: Glen Sutle

Charles O. Smith, President

AMALGAMATED **BANK OF CHICAGO, as Trustee**

By:

Cherie Duve, Senior **Vice President**

SIGNATURE PAGE OF LEASEHOLD MORTGAGE

ASSIGNMENT OF LEASES AND RENTS,

SECURITY AGREEMENT, AND FIXTURE FILING

Mortgagor and the Trustee have executed and delivered **this** Mortgage the day and year first above written.

NORTH SHORE ICE ARENA, LLC

By:

Charles O. **Smith, President**

AMALGAMATED BANK OF CHICAGO, as Trustee

By:

de

Cherie Duve, Senior Vice President

STATE OF **ILLINOIS**

COUNTY

OF C00

Ss

Belly, a Notary Public in and for said County, in the State

Pamela J. BERRY

I, aforesaid, do hereby certify that Charles O. Smith, the President of North Shore Ice Arena, LLC, who is personally known to me to be the same person whose name is subscribed to the foregoing instrument, appeared before me this day in person and acknowledged that he/she signed and delivered the said instrument as his/her own free and voluntary act and as the free and voluntary act of said company, for the uses and purposes therein set forth.

GIVEN under my hand and notarial seal, this day of January, 2008.

(SEAL)

Dome en Bry

NOTARY PUBLIC

OFFICIAL SEAL
PAMELA J BERRY
NOTARY PUBLIC - STATE OF ILLINOIS MY COMMISSION EXPIRES:04/16/08

Leasehold **Mortgage** Addendum**-2**

STATE OF ILLINOIS

COUNTY OF

Coo
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Debra
Adiva

I,

a Notary Public in and for said County, in the **State** aforesaid, do hereby certify that Cherie Duve, being a **Senior** Vice President of Amalgamated Bank of Chicago, as **trustee,** who is personally known to me to be the same person whose name is subscribed to the

foregoing instrument, appeared before me **this day** in person and acknowledged that she signed and delivered the said instrument as the free and voluntary act of said association, not in its individual capacity.

GIVEN under **my** hand and notarial seal, this day of January, 2008.

Official Seal
Debra Ann Adisa
Notary Public
State of Illinois
My Commission **Expires**
04/02/2011

My Commission Expires:

April 3, 2011

Debra A. Adisa

Notary Public

and a resident of_COOK County, Illinais

Leasehold Mortgage Addendum-3

Exhibit A

Legal Description of the Premises

EC-2C

PART OF LOT EC-2 IN TECHNY PARCELS EC-1 AND EC-2, BEING A SUBDIVISION OF PART OF THE WEST HALF OF SECTION 14, AND PART OF THE SOUTHEAST QUARTER OF SECTION 15, ALL IN TOWNSHIP 42 NORTH, RANGE 12 EAST OF THE THIRD PRINCIPAL MERIDIAN, ACCORDING TO THE PLAT THEREOF RECORDED FEBRUARY 27, 2004 AS DOCUMENT NUMBER 0405844049 DESCRIBED AS FOLLOWS:

COMMENCING AT THE SOUTHWEST CORNER OF SAID LOT EC-2; THENCE NORTHERLY ALONG THE WESTERLY LINE OF SAID LOT EC-2 THE FOLLOWING FIVE (5) COURSES AND DISTANCES: 1) NORTH 41 DEGREES 07 MINUTES 39 SECONDS WEST, 115.77 FEET; 2) NORTH 89 DEGREES 55 MINUTES 05 SECONDS WEST, 211.02 FEET; 3) NORTH 26 DEGREES 54

MINUTES 49 SECONDS WEST, 102.88 FEET; 4) NORTH 37 DEGREES 42 MINUTES 01 SECONDS EAST, 173.60 FEET; 5) NORTH 26 DEGREES 07 MINUTES 43 SECONDS WEST, 687.48 FEET FOR THE PLACE OF BEGINNING; THENCE CONTINUING NORTHERLY ALONG THE WESTERLY LINE OF SAID LOT EC-2 THE FOLLOWING THREE (3) COURSES AND DISTANCES: 1) NORTH 26 DEGREES 07 MINUTES 43 SECONDS WEST, 36.58 FEET; 2) NORTH 42 DEGREES 59 MINUTES 46 SECONDS WEST, 402.42 FEET; 3) NORTH 81 DEGREES 38 MINUTES 35 SECONDS WEST, 102.67 FEET; THENCE NORTH 56 DEGREES 07 MINUTES 43 SECONDS EAST, 594.75 FEET TO THE EASTERLY LINE OF SAID LOT EC- 2, SAID LINE ALSO BEING THE WESTERLY LINE OF HERETOFORE DEDICATED FOUNDERS DRIVE; THENCE SOUTHERLY ALONG THE EASTERLY LINE OF SAID LOT EC-2 THE FOLLOWING TWO (2) COURSES AND DISTANCES: 1) ALONG AN ARC OF A CURVE CONCAVE TO THE EAST AND NONTANGENT TO THE LAST DESCRIBED LINE, HAVING A RADIUS OF 780.00 FEET, HAVING A CHORD BEARING OF SOUTH 22. DEGREES 31 MINUTES 41 SECONDS EAST, 401.93 FEET TO A POINT OF REVERSE CURVATURE; 2) ALONG AN ARC OF A CURVE CONCAVE TO THE SOUTHWEST, HAVING A RADIUS OF 2540.00 FEET, HAVING A CHORD BEARING OF SOUTH 36 DEGREES 00 MINUTES 59 SECONDS EAST, 112.94 FEET; THENCE SOUTH 56 DEGREES 07 MINUTES 43 SECONDS WEST ALONG A LINE NONTANGENT TO THE LAST DESCRIBED CURVE, 385.88 FEET TO THE PLACE OF BEGINNING, IN COOK COUNTY, ILLINOIS.

PIN:

Address:

04-14-305-001-0000 (portion only)

5.0+ acres of vacant land on Founders Drive, north of Kamp Drive and south of Techny Road, Northbrook, Illinois.

1.

2.

3.

4.

EXHIBIT B

PERMITTED ENCUMBRANCES

Taxes and assessments which are a lien on the Real Estate, but which are not yet billed as of January 25, 2008, or are billed but are not yet delinquent, and any assessments not shown on the public record as of January 25, 2008;

Any laws, regulations or ordinances (including, without limitation, zoning, building and environmental matters) as to the use, occupancy, subdivision or improvement of the Real Estate adopted or imposed by any governmental agency;

Matters disclosed by the Survey delivered in connection with the transactions which are evidenced by this instrument, except for encroachments of the improvements onto adjoining properties, easements, set-back lines or right-of-way, other than items otherwise constituting Permitted Encumbrances and other than any landscaping or similar site improvements;

Rights of the public, the State of Illinois and the municipality in and to that part of the Real Estate, if any, taken or used for road purposes; and

5.

Rights of way for drainage tiles, ditches, feeders and laterals, if any.

LEASEHOLD MORTGAGE ADDENDUM

The following terms and conditions are included as additional provisions to the Mortgage to which this Addendum is attached:

1. Mortgagor will pay or cause to be paid all rent and other charges required under that certain Ground Lease dated as of January 1, 2008, made by Chicago Title Land Trust Company, as Trustee under a Trust Agreement dated January 1, 2008, and known as Trust Number 1114334, as "lessor" and Mortgagor as "lessee" (the "Lease") as and when the same are due, and Mortgagor will keep, observe and perform, or cause to be kept, observed and performed, all of the other terms, covenants, provisions and agreements of the Lease on the part of the lessee thereunder to be kept, observed and performed, and will not in any manner, cancel, terminate or surrender, or permit any cancellation, termination or surrender of the Lease, in whole or in part, or, without the written consent of Mortgagee, either orally or in writing, modify, amend or permit any modification or amendment of any of the terms thereof in any respect, and any attempt on the part of Mortgagor to exercise any such right without such written consent of Mortgagee shall be null and void

and of no effect. Within ten (10) days after the execution and delivery of the Mortgage, or any amendment or assignment thereof, Mortgagor shall deliver to the lessor under the Lease a copy of such document certified as true, correct, and complete, together with notice of the name and address of the Mortgagee, in substantially the form attached hereto as Schedule 1, in compliance with the obligations of Mortgagor under Section 9.3 of the Lease.

2. Mortgagor will do, or cause to be done, all things necessary to preserve and keep unimpaired the rights of Mortgagor as lessee under the Lease, and to prevent any default under the Lease, or any termination, surrender, cancellation, forfeiture or impairment thereof, and in the event of the failure of Mortgagor to make any payment required to be made by Mortgagor pursuant to the provisions of the Lease or to keep, observe or perform, or cause to be kept, observed or performed, any of the terms, covenants, provisions or agreements of the Lease, Mortgagor agrees that Mortgagee may (but shall not be obligated to), after notice to Mortgagor (provided, however, that no such notice shall be required to be given after the occurrence of an Event of Default hereunder or under any of the other Loan Documents) take any action on behalf of Mortgagor, to make or cause to be kept, observed or performed any such terms, covenants, provisions or agreements and to enter upon the Premises and take all such action thereof as may be necessary therefor, to the end that the rights of Mortgagor in and to the leasehold estate created by the Lease shall be kept unimpaired and free from default, and all money so expended by Mortgagee, with interest thereon at the Advance Rate from the date of each such expenditure, shall be paid by Mortgagor to Mortgagee promptly upon demand by Mortgagee and shall be added to the indebtedness and secured by the Mortgage.

3.

Mortgagor will enforce the obligations of the lessor under the Lease to the end that Mortgagor may enjoy all of the rights granted to it under the Lease, and will promptly notify Mortgagee in writing of any default by the lessor or by Mortgagor in the performance or observance of any of the terms, covenants and conditions on the part of the lessor or Mortgagor, as the case may be, to be performed or observed under the Lease, and Mortgagor will promptly advise Mortgagee in writing of the occurrences of any of the events of default enumerated in the Lease and of the giving of any notice by the lessor to Mortgagor of any default by Mortgagor in performance or observance of any of the terms, covenants or conditions of the Lease on the part of the Mortgagor to be performed or observed and will deliver to Mortgagee a true copy of each such notice. If, pursuant to the Lease, the lessor shall deliver to Mortgagee a copy of any notice of default given to Mortgagor, such notice shall constitute full authority and protection to Mortgagee for any action taken or omitted to be taken by Mortgagee in good faith in reliance thereon to cure such default.

4.

If any action or proceeding shall be instituted to evict Mortgagor or to recover possession of the Premises or for any other purpose affecting the Lease or this Mortgage, Mortgagor will, immediately upon service thereof on or to Mortgagor, deliver to Mortgagee a true copy of each petition, summons, complaint, notice of motion, order to show cause and of all other provisions, pleadings, and papers,

however designated, served in any such action or proceeding.

5.

Mortgagor covenants and agrees that unless Mortgagee shall otherwise expressly consent in writing, **the fee title** to the property demised by the Lease and the leasehold estate shall not merge but shall **always** remain separate and distinct, notwithstanding the union of said **estates either** in **the** lessor, Mortgagor, or a third party by purchase or otherwise; and in case Mortgagor acquires the fee title or any other estate, **title** or interest in the Premises**,** this Mortgage shall attach to and cover and be a lien upon the **fee title** or such other estate so acquired, and such fee title or other estate shall, without further assignment, Mortgage or conveyance, become and be subject to the lien of and covered by this Mortgage,

6. No release or forbearance of **any** of Mortgagor's obligations under the Lease, pursuant to the Lease, or otherwise, **shall** release Mortgagor from any of its obligations under this Mortgage, including its obligation with respect to the payment of rent as provided for in the Lease and the performance of all of the terms**,** provisions**,** covenants, conditions and agreements contained in the Lease**,** to be kept, performed and complied **with** by the tenant therein.

7.

Upon **the** occurrence of **an** Event of Default Mortgagor shall not make any election or give any consent or approval (other than the exercise of a renewal **right** or extension right pursuant to **Paragraph** 9 below) for which a right to do so is conferred upon Mortgagor as lessee under the Lease without Mortgagee's prior written consent. In case of any Event of Default under this Mortgage, all such **rights,** together **with** the right of termination, cancellation, modification**,** change**,** supplement, alteration or amendment of the Lease, all of which have been assigned for collateral purpose to Mortgagee, shall vest in and be exercisable solely by Mortgagee.

8. Mortgagor will **give** Mortgagee prompt written notice of the commencement of any arbitration or appraisal proceeding under and pursuant to the provisions of the Lease. Mortgagee shall have the right to intervene **and** participate in any such proceeding and Mortgagor shall confer with Mortgagee to the extent which Mortgagee deems necessary for the protection of Mortgagee. Upon the written request of **Mortgagee**, if an Event of Default exists, Mortgagor will exercise all rights of arbitration conferred upon it by **the** Lease. Mortgagor shall select an arbitrator who is approved **in** writing by Mortgagee, provided, however, that if at the time any such proceeding shall be commenced, Mortgagor shall be in default in the performance or observance of any covenant, condition or other requirement of the Lease, or of this Mortgage, on **the** part of Mortgagor to be performed or observed, Mortgagee shall have**,** and is hereby granted, the sole **and** exclusive right to designate and appoint on **behalf** of Mortgagor the arbitrator or arbitrators**, or appraiser**, **in** such proceeding.

9.

Mortgagor may exercise any option or right to renew or extend the term of the Lease without **the** prior written consent of Mortgagee. Mortgagor shall give Mortgagee simultaneous written notice of the exercise of such option or right to renew or extend, together with a copy of the instrument **given** to the **lessor** under the **Lease** exercising such option or right, and, thereafter, **shall** promptly deliver to Mortgagee a copy **of any** acknowledgment by **the** lessor under such Lease with respect to **the** exercise of such

option or right. If such option or right has not been exercised as aforesaid, then not more than sixty (60) days and not less than thirty (30) days before the right of Mortgagor to exercise any option or right to renew or extend the term of the Lease shall expire, Mortgagor shall give Mortgagee written notice specifying the date, term and manner for which such option or renewal is to be exercised. Within fifteen (15) days of written demand by Mortgagee, Mortgagor shall exercise any such option or renewal which is necessary to extend the term of the Lease beyond the term of this Mortgage or to comply with any law

affecting Mortgagor or Mortgagee or which is necessary, in Mortgagee's reasonable judgment, to preserve the value of the security intended to be afforded by this Mortgage. Mortgagor shall promptly provide evidence of such exercise of such option or right to Mortgagee's reasonable satisfaction. In the event that Mortgagor fails to so exercise any such option or right or in the event of any default hereunder which is continuing beyond the applicable cure periods, Mortgagor hereby agrees and grants to Mortgagee all right and authority to exercise such option in the name of Mortgagor or in its own name. Nothing contained herein shall affect or limit any rights of Mortgagee granted under the Lease.

10. The lien of this Mortgage shall attach to all of Mortgagor's rights and remedies at any time arising under or pursuant to Subsection 365(h) of the Bankruptcy Code, 11 U.S.C. § 365(h), including, without limitation, all of Mortgagor's rights to remain in possession of the Premises.

11. Mortgagor shall not, without Mortgagee's prior written consent, elect to treat the Lease as terminated under Subsection 365(h)(1) of the Bankruptcy Code, 11 U.S.C. § 365(h)(1). Any such election made without Mortgagee's consent shall be void.

12. Mortgagor hereby unconditionally assigns, transfers and sets over to Mortgagee all of Mortgagor's claims and rights to the payment of damages arising from any rejection of the Lease by lessor or any other fee owner of the Premises under the Bankruptcy Code. Mortgagee shall have the right to proceed in its own name or in the name of Mortgagor in respect of any claim, suit, action or proceeding relating to the rejection of the Lease, including, without limitation, the right to file and prosecute, either in its own name or in the name of Mortgagor, any proofs of claim, complaints, motions, applications, notices and other documents, in any case in respect to the lessor or any fee owner under the Bankruptcy Code. This assignment constitutes a present, irrevocable and unconditional assignment of the foregoing claims, rights and remedies, and shall continue in effect until all of the obligations secured by this Mortgage shall have been satisfied and discharged in full. Any amounts received by Mortgagee as damages arising out of the rejection of the Lease as aforesaid shall be applied first to all costs and expenses of Mortgagee (including, without limitation, attorneys' fees) incurred in connection with the exercise of any of its rights or remedies under this Section and then in accordance with the provisions of this Mortgage. Mortgagor hereby authorizes Mortgagee to file a UCC Financing Statement, in form and substance satisfactory to Mortgagee, and all

such additional instruments, agreements and other documents, as may at any time hereafter be required by Mortgagee to effectuate and carry out the assignment made pursuant to this Section.

13. If pursuant to Subsection 365(h)(2) of the Bankruptcy Code, 11 U.S.C. § 365(h)(2), Mortgagor shall seek to offset against the rent reserved in the Lease the amount of any damages caused by the nonperformance by the lessor or any fee owner of any of their obligations under the Lease after the rejection by the lessor or any fee owner of the Lease under the Bankruptcy Code, Mortgagor shall, prior to effecting such offset, notify Mortgagee of its intent to do so, setting forth the amounts proposed to be so offset and the basis therefor. Mortgagee shall have the right to object to all or any part of such offset that, in the reasonable judgment of Mortgagee, would constitute a breach of the Lease, and in the event of such objection, Mortgagor shall not effect any offset of the amounts so objected to by Mortgagee. Neither Mortgagee's failure to object as aforesaid nor any objection relating to such offset shall constitute an approval of any such offset by Mortgagee.

14. If any action, proceeding, motion or notice shall be commenced or filed in respect of the lessor or any fee owner, the Premises or the Lease in connection with any case under the Bankruptcy Code, Mortgagee shall have the option, exercisable upon notice from Mortgagee to Mortgagor, to conduct and control any such litigation with counsel of Mortgagee's choice. Mortgagee may proceed in its own name or in the name of Mortgagor in connection with any such litigation, and Mortgagor agrees to execute any and all powers, authorizations, consents or other documents reasonably required by

Mortgagee in connection therewith. Mortgagor shall, upon demand, pay to Mortgagee all costs and expenses (including attorneys' fees) paid or incurred by Mortgagee in connection with the prosecution or conduct of any such proceedings. Any such costs or expenses not paid by Mortgagor as aforesaid shall be secured by the lien of this Mortgage and shall be added to the principal amount of the indebtedness secured hereby. Mortgagor shall not commence any action, suit, proceeding or case, or file any application or make any motion (unless such motion is for the purpose of protecting the Lease and its value as security for the obligations secured by this Mortgage), in respect of the Lease in any such case under the Bankruptcy Code without the prior written consent of Mortgagee, which consent shall not be unreasonably withheld or delayed.

15. Mortgagor shall, after obtaining knowledge thereof, promptly notify Mortgagee of any filing by or against the lessor or other fee owner of a petition under the Bankruptcy Code. Mortgagor shall promptly deliver to Mortgagee, following receipt, copies of any and all notices, summonses, pleadings, applications and other documents received by Mortgagor in connection with any such petition and any proceedings relating thereto.

16. If there **shall** be filed by or against Mortgagor a petition under the Bankruptcy Code and Mortgagor, as lessee under the Lease, shall determine to reject the Lease pursuant to Section 365(a) of the Bankruptcy Code, Mortgagor shall give Mortgagee not less than thirty (30) days' prior notice of the date on which Mortgagor shall apply to **the** Bankruptcy Court for authority to reject the Lease. Mortgagee shall have the right, but not the obligation, to serve upon Mortgagor within such **thirty** (30) day period a notice stating **that** Mortgagee demands that Mortgagor assume and assign the Lease to Mortgagee pursuant to Section 365 of the Bankruptcy Code. If Mortgagee shall serve upon Mortgagor the notice described in the preceding sentence, Mortgagor shall not seek to **reject** the Lease and shall comply with the demand provided for in the preceding sentence.

17.

Notwithstanding anything to the contrary contained herein, Mortgagee shall have no liability or obligation **under the** Lease by reason of its acceptance of this Mortgage.

To:

Schedule 1

Lessee's **Certificate & Notice**

Chicago Title Land Trust Company As Trustee
of Trust No. 1114334 181 West Madison,
17th Floor Chicago, Illinois **60602**
Attention: **Land** Trust **Department**

Re:

Notice of [**Leasehold Mortgage / Amendment of Leasehold Mortgage / Assignment of** Leasehold **Mortgage]**

For Real Estate referred to **as Parcel EC-2C located in the Village of Northbrook, Cook County, Illinois**

The undersigned, the lessee under that certain Ground Lease dated as of January 1, 2008, with Chicago **Title** Land Trust Company**, as** Trustee under a Trust Agreement dated January 1, 2008**,** and known as Trust Number 1114334, as lessor, acting pursuant to Section 9.3.1 of such Ground Lease, **hereby** delivers and certifies to lessor that attached is a true, correct, and complete copy of **that** certain **[Leasehold Mortgage /** Amendment to **Leasehold Mortgage / Assignment of Leasehold Mortgage]** entered into by and between the undersigned, as the leasehold mortgagor, and Amalgamated Bank of Chicago **[or**

J, **as** the leasehold mortgagee **[or assignee** to **the leasehold mortgagee],** and delivered one to another on

20 relating to the **[financing / refinancing]** of the Project, **as** such term is defined **in** such Ground **Lease**.

Pursuant to Section 9.3.2 of such Ground Lease, the undersigned further notifies lessor that the address for Amalgamated Bank of Chicago **[or**

mortgagee, is

1, as leasehold

This Certificate and Notice has been submitted for delivery to lessor this

day of 20 by **[overnight** courier / **personal delivery** / **United States Certified or Registered Mail]** in accordance **with** the requirements set forth in Section 24 of such Ground Lease, as

have all copies required thereby to be delivered.

SBDS02 ABF 363125v4

North Shore Ice Arena, LLC

By: Name:

Its: